BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Cases 25-E-0072, 25-G-0073

April 10, 2025

Update Testimony of:

Cyber and Physical

Security Panel

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
UPDATE TESTIMONY OF CYBER AND PHYSICAL SECURITY PANEL

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I. Introduction

Q. Please state the names of the Cyber and Physical Security Panel ("Panel") members.

A. Nicholas Boshears, Angel Cardoza, and Kurt John.

Q. Has the Panel previously submitted testimony in this proceeding?

A. Yes. We submitted direct testimony on behalf of Consolidated Edison Company of New York, Inc. ("Con Edison" or "Company") in the Company's January 2025 filing.

Q. What is the purpose of the Panel's update/corrections testimony?

A. Our update/corrections testimony addresses:

- Incremental operations and maintenance ("O&M") funding needed for security guard services;
- Changes in projected spending for the Energy Control Center ("ECC") Relocation project; and
- Other corrections and adjustments to the Panel's direct testimony and exhibits.

Q. Are these changes reflected in the Company's updated revenue requirement?

A. Yes.

II. Update

A. Security Guard Services

Q. Please describe how Con Edison uses security guard services.

A. Security guard contractors provide Con Edison with a range of essential services (securing and protecting facilities) on a 24/7/365 basis at 42 Company locations, including plants, service centers, office buildings and other facilities. These services include monitoring and controlling access so that only authorized personnel and visitors enter each facility, and patrolling facilities regularly to detect and prevent suspicious activity and security breaches. These contractor guards are also trained and prepared to respond and take appropriate action in the event of security issues or incidents.

Q. Is the Company requesting incremental O&M funding to support security guard services?

A. Yes. The Company is requesting incremental O&M funding for security guard services because the Company recently extended the existing security guard services contract, resulting in an average cost increase of 10% per contract

line item. This contract extension was finalized in February 2025.

Q. What is driving these increases?

A. The main drivers are prevailing and minimum wage adjustments as allowed by law and in this contract. The cost increases are also associated with unionized security guard contractor employees working at some locations.

Q. Why was this funding request not included in the Company's January 2025 filing?

A. The negotiation process was ongoing, and the impact of the contract increases was not yet determined, at the time of the Company's January 2025 filing.

Q. What level of incremental O&M funding is needed for security guard services during the three rate years?

A. The Company is proposing incremental O&M spending of $1.0 million for the 12 months ending December 2026 ("RY1") and $0.4 million for the 12 months ending December 2027 ("RY2").

Q. Is the Panel submitting any documents that detail this O&M program change?

A. Yes. We prepared a white paper discussing these incremental O&M costs. This white paper is titled "Security Guard Services" and is provided in Exhibit __ (CPSP-5).

Q. Is the Panel submitting any other updated exhibits reflecting this O&M program change?

A. Yes. We are submitting an updated O&M summary reflecting this change. This updated O&M summary is provided in Exhibit __ (CPSP-2-UpD).

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

Q. Is this Company aware of any other developments that may impact the cost of security guard services?

A. No, but the Company has seen growing interest in unionization and cannot rule out the possibility of further unionization with security guards. While the Company is not aware of any pending efforts, further unionization of security guard contractor employees may result in additional cost increases during the rate years, which may result in the Company revising its revenue requirement later consistent with Commission rules.

B. ECC Relocation Project

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Q. Is the Company proposing changes to its ECC Relocation project?

A. Yes. The project schedule reflected in the January 2025 filing was based on completing real estate acquisition activities within RY1. Upon further evaluation, the Company has increased the property acquisition timeframe to two years, which will include both real estate acquisition and engineering activities. As a result, the anticipated construction start date will be deferred by a year (*i.e.*, to RY2).

Q. Why is the Company making these changes to the proposed ECC Relocation project?

A. These changes will provide the Company with additional time to acquire real estate for the relocated ECC. Given the complexity of the property requirements, including parcel size, setback distances, and employee accessibility, there may be a limited inventory of properties available. As such, the Company will need additional time for property acquisition.

Q. Do these changes impact the Company’s projected capital spending during the three rate years?

A. Yes. With this change, the Company anticipates spending $145 million in capital over the rate years, consisting of: $45 million in RY1, $15 million RY2, and $85 million in RY3 (*i.e.*, the 12 months ending December 2028). These changes result in a $125 million decrease in projected capital spending over the three rate years, as compared to the Company's January 2025 filing.

Q. What impact will these changes have on the overall project?

A. These changes will not impact the anticipated project completion date, but they will affect the overall project budget.

Q. How will these changes affect the overall project budget?

A. In the long-term, these changes are expected to increase the overall project budget by approximately $200 million.

Q. Please explain.

A. By deferring the construction start date by a year, the Company is shifting more work into subsequent rate plans, when costs are expected to be higher due to escalation. In addition, some of the work in later years may need to be completed on an accelerated basis, resulting in increased costs.

Q. Are you submitting an updated white paper reflecting this change?

A. Yes. We are submitting an updated white paper, which is provided in Exhibit __ (CPSP-4-UpD).

Q. Is the Panel submitting any other updated exhibits reflecting this change?

A. Yes. We are submitting an updated capital summary reflecting this change. This updated capital summary is provided in Exhibit __ (CPSP-1-UpD).

Q. Were these exhibits prepared under the Panel's supervision and direction?

A. Yes.

Q. Is the Company proposing to relocate the ECC solely for security reasons?

A. No. There are several other reasons to relocate the ECC, including safety, system reliability, age of the current facility, lack of available space for additional employees and equipment, and the need to expand the footprint to accommodate new clean energy infrastructure and resources. Additionally, staying at the existing ECC site will require a complete renovation, likely requiring structural work to increase the height of the building to meet operational

needs as well as building code requirements for which the Company has existing variances. This type of renovation work, which may be more expensive than relocating the ECC, would not address many of the existing security concerns.

C. Other Corrections and Adjustments

Q. Is the Panel submitting other corrections and adjustments?

A. Yes. We are submitting updated exhibits including white papers that address the following corrections and adjustments:

- The capital funding amounts included in the TNVS Web project white paper (pp. 64-66 of Exhibit __ (CPSP-4)) were not correct; however, the correct amounts were included in the Company's initial revenue requirement. The Company is therefore submitting an updated white paper with the following corrected capital funding requests, which match the Company's initial revenue requirement: $1.5 million in RY1, and $1.7 million in each of RY2-RY3. This white paper was also updated to include a corrected capital spending projection of $1.1 million in 2029 and to remove the two (2) incremental full-time equivalents ("FTEs") requested in the Company's initial filing because they were included in

error. This updated white paper is provided in Exhibit __ (CPSP-4-UpD). This correction is also reflected in the updated FTE summary provided in Exhibit __ (CPSP-3-UpD).

- The capital funding requests included in the ECC and AECC Security Enhancements program white paper (pp. 31-37 of Exhibit __ (CPSP-4)) were not correct; however, the correct amounts were included in the Company's initial revenue requirement. The Company is therefore submitting an updated white paper with the following corrected capital funding requests, which match the Company's initial revenue requirement: $5.8 million in RY1, $4.5 million in RY2, and $4.4 million in RY3. This updated white paper is provided in Exhibit __ (CPSP-4-UpD).
- The Facilities Security Upgrades program white paper (pp. 23-26 of Exhibit __ (CPSP-4)) was updated to confirm that the camera-related aspects of the proposed security upgrades at the 16th Street Service Center have been moved to the Corporate Security-Company Wide Camera Rollout Program. This updated white paper is provided in Exhibit __ (CPSP-4-UpD). As stated in the Company's

response to Department of Public Service ("DPS") interrogatory DPS-17-423, provided in Exhibit __ (CPSP-6), the 16th Street Camera Work has been removed from the Facilities Security Upgrades Program and is covered under the Corporate Security-Company Wide Camera Rollout Program.

- The total O&M funding requests included in the Corporate Security Technology and Equipment Enhancement program white paper (pp. 6-10 of Exhibit __ (CPSP-4)) were not correct; however, the correct amounts were included in the Company's initial revenue requirement. The Company is therefore submitting an updated white paper with the following corrected total O&M funding requests, which match the Company's initial revenue requirement: $835,000 in RY1, $955,000 in RY2, and $1.065 million in RY3. This updated white paper is provided in Exhibit __ (CPSP-4-UpD).
- The total O&M funding requests included in the Protective Intelligence & Countermeasures program white paper (pp. 15-22 of Exhibit __ (CPSP-4)) were not correct; however, the correct amounts were included in the Company's initial revenue requirement. The Company

is therefore submitting an updated white paper with the following corrected total O&M funding requests, which match the Company's initial revenue requirement: $3.908 million in RY1, $5.773 million in RY2, and $8.456 million in RY3. This updated white paper is provided in Exhibit __ (CPSP-4-UpD).

- The updated white paper for the Cybersecurity program, provided in Exhibit __ (CPSP-4-UpD), corrects the actual historic O&M spending amounts for 2020 through 2023, consistent with the Company's response to DPS interrogatory, DPS-6-309, provided in Exhibit __ (CPSP-6).
- The updated white paper for the Cyber Security Infrastructure (Cyber for High Value Networks (HVN)) program, provided in Exhibit __ (CPSP-4-UpD), corrects the actual historic O&M spending amounts for 2020, 2022, and 2023, consistent with the Company's response to DPS interrogatory, DPS-6-310, provided in Exhibit __ (CPSP-6).
- The updated white paper for the Cyber Security and NERC Compliance program, provided in Exhibit __ (CPSP-4-UpD), corrects the projected capital spending amount for 2025.

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Q. Does this conclude your update and correction testimony?

A. Yes, it does.